Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Amazon Expands Video Library With MGM Studios Acquisition; FVE Still $4,200

See Page 2 for the full Analyst Note from 26 May 2021

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Important Disclosure

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The primary analyst covering this company does not own its stock.

Research as of 26 May 2021
Estimates as of 29 Apr 2021
Pricing data through 07 Jul 2021 00:00
Rating updated as of 07 Jul 2021 00:00

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.
Rating as of 07 Jul 2021 00:00

Currency amounts expressed with "$" are in U.S. dollars (USD) unless otherwise denoted.

Contents

Business Strategy and Outlook 29 Apr 2021

Amazon dominates its served markets, notably for e-commerce and cloud services. It benefits from numerous competitive advantages and has emerged as the clear e-commerce leader given its size and scale, which yield an unmatched selection of low-priced goods for consumers. The secular drift toward e-commerce continues unabated with the company continuing to grind out market share gains despite its size. Prime ties Amazon's e-commerce efforts together and provides a steady stream of high margin recurring revenue from customers who purchase more frequently from Amazon's properties. In return, consumers get one-day shipping on millions of items, exclusive video content, and other services, which result in a powerful virtuous circle where customers and sellers attract one another. The Kindle and other devices further bolster the ecosystem by helping attract new customers, while making the value proposition irresistible in retaining existing customers. Through Amazon Web Services (AWS), Amazon is also a clear leader in public cloud services.

Additionally, the firm's advertising business is already large and continues to scale, thus offering an attractive option for marketers looking to access a vast audience with a variety of proprietary data points about those very consumers. AWS, advertising, and subscriptions are growing faster than e-commerce with the exception of the 2020 spike in online shopping. We expect these three areas to be the main growth drivers over the next several years. This is critical, as each of these segments drives higher margins than the corporate average, which in turn should allow both operating profit and EPS to outgrow revenue as margins continue to expand.

From a retail perspective, we expect continued innovation to help drive further share gains. We also look for continued penetration into categories such as groceries and luxury goods that have not previously translated into the same level of success as other retail categories. We also see technology advancements in AWS and a bigger push to service enterprise customers as helping to sustain the company's lead there. Overall, we see strong revenue and free cash flow growth for years to come.

Vital Statistics

Market Cap (USD Mil)	1,864,273
52-Week High (USD)	3,734.20
52-Week Low (USD)	2,871.00
52-Week Total Return %	23.2
YTD Total Return %	13.5
Last Fiscal Year End	31 Dec 2020
5-Yr Forward Revenue CAGR %	17.1
5-Yr Forward EPS CAGR %	22.0
Price/Fair Value	0.88

Valuation Summary and Forecasts

Fiscal Year:	2019	2020	*2021(E)*	*2022(E)*
Price/Earnings	80.3	77.9	*69.6*	*60.8*
EV/EBITDA	21.7	28.8	*27.9*	*24.7*
EV/EBIT	64.4	72.1	*58.1*	*49.2*
Free Cash Flow Yield %	2.4	1.6	*1.7*	*2.5*
Dividend Yield %	—	—	—	—

Financial Summary and Forecasts (USD Mil)

Fiscal Year:	2019	2020	*2021(E)*	*2022(E)*
Revenue	280,522	386,064	*484,148*	*566,085*
Revenue YoY %	20.5	37.6	*25.4*	*16.9*
EBIT	14,540	22,899	*32,290*	*38,153*
EBIT YoY %	17.1	57.5	*41.0*	*18.2*
Net Income, Adjusted	11,588	21,331	*27,386*	*31,592*
Net Income YoY %	15.0	84.1	*28.4*	*15.4*
Diluted EPS	23.01	41.83	*53.14*	*60.81*
Diluted EPS YoY %	14.2	81.8	*27.1*	*14.4*
Free Cash Flow	16,969	18,358	*25,003*	*32,965*
Free Cash Flow YoY %	32.2	8.2	*36.2*	*31.8*

Historical/forecast data sources are Morningstar Estimates and may reflect adjustments.
Analyst Note: 0P000000B7

Profile

Amazon is a leading online retailer and one of the highest-grossing e-commerce aggregators, with $386 billion in net sales and approximately $482 billion in estimated physical/digital online gross merchandise volume, or GMV, in 2020. Retail related revenue represented approximately 83% of total, followed by Amazon Web Services' cloud computing, storage, database, and other offerings (12%), and advertising services and cobranded credit cards (6%). International segments constituted 27% of Amazon's non-AWS sales in 20202, led by Germany, the United Kingdom, and Japan.

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Morningstar Analysis

Amazon Expands Video Library With MGM Studios Acquisition; FVE Still $4,200 26 May 2021

On May 26, wide-moat Amazon formally announced the acquisition of privately held MGM Studios for $8.45 billion; the deal had been rumored for several days. No timing has been provided, but we do not expect regulatory delays. While the deal is immaterial relative to Amazon's $1.6 trillion market cap and we are not adjusting our $4,200 fair value estimate, we see this move as strategically important as the company adds more content to its Amazon Prime Video library. MGM's content spans movies, scripted and unscripted television, video games, and podcasts. Notably, MGM owns a variety of franchises including James Bond, Rocky, Pink Panther, The Handmaid's Tale, and Real Housewives and boasts a catalog of more than 4,000 movies and 17,000 TV episodes. We think Amazon must continue to expand its content library to remain one of the relevant streaming players. We can envision the company justifying an increase in Prime membership prices next year based on the MGM acquisition.

We believe Amazon remains well positioned to prosper from the shift toward e-commerce during the COVID-19 pandemic in the near term, with particular strength in groceries and staples, but also from the secular shift toward e-commerce in the long term, and we see content as a differentiator for Prime members. We expect some content to be made available for free to Prime members, as Amazon has continued to expand benefits for this important group of consumers who shop more frequently on Amazon.com, purchase from more retail categories, and spend more overall with Amazon. Amazon's subscription services generated $25.2 billion in revenue in 2020, representing 7% of total revenue and up 31% over 2019. We think most of this is Prime memberships, but we also see other paid subscriptions, including Kindle Unlimited, Prime Video, and Amazon Music Unlimited, as growing faster within the mix.

We encourage investors to read our April publication "Best Idea Amazon Should Continue to Dominate Its Served Markets" for a deep dive into the company and its positioning in each of its segments.

Fair Value & Profit Drivers 29 Apr 2021

Our fair value estimate for Amazon is $4,200 per share, which implies a 2021 adjusted price/earnings multiple of 79 times and a 1.5% free cash flow yield. We think multiples are a little less meaningful for Amazon given the ongoing heavy investment and rapid scaling that depresses financial performance. However, we expect the company to significantly grow its free cash flow as it matures.

Over the long term, we expect e-commerce to continue to take share from brick-and-mortar retailers. We further expect Amazon to gain share online. We believe that over the medium term, COVID-19 has pulled forward some demand by changing consumer behavior and better penetrating some retail categories, such as groceries, pharmacy, and luxury goods, that previously had not gained as much traction online. We think Prime subscriptions and the accompanying benefits, combined with selection, price, and convenience continue to drive the retail story. We also see international as being a longer-term opportunity within retail. We model total retail-related revenue growing at a 15% compound annual growth rate (CAGR) over the next five years.

We believe the critical growth drivers over the medium term will be AWS and advertising. Since these segments earn materially higher margins than the rest of the business, we also expect them to drive margins higher over time. Over the next five years, we project AWS revenue growing at a 23% CAGR and other revenue (which includes advertising) growing at a 26% CAGR. In total, Amazon should grow at a 17% CAGR through 2025.

Our near-term forecast includes a gradual easing of some COVID-19-related expenses, which totaled more than $10 billion in 2020. We model GAAP operating margin expanding

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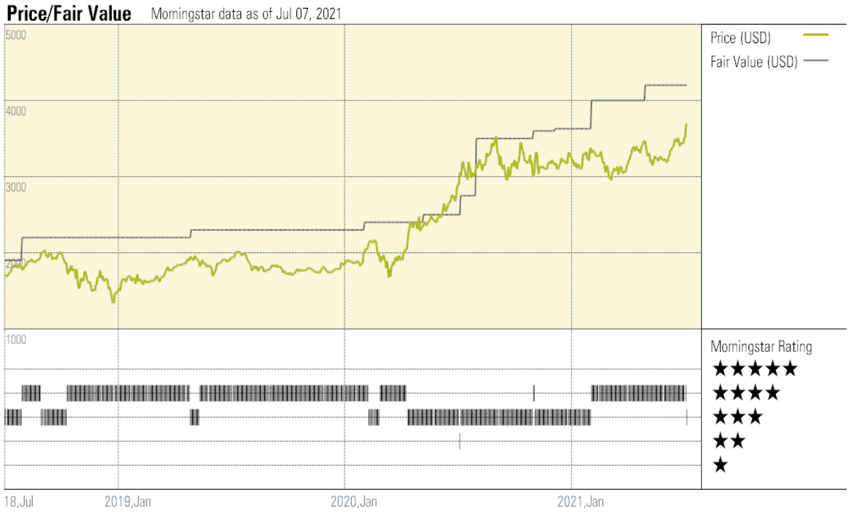

from 5% (actual) in 2020 to 9% in 2025.

Scenario Analysis

Under each of our valuation scenarios, we believe the critical debate is around Amazon's ability to drive revenue growth. We consider the relative importance of the company's revenue segments and conclude that growth for AWS and advertising (the latter of which is contained within other revenues) are the most critical given their outsize impact on both overall growth and margins. From an e-commerce perspective, we think the subscription services line is critical, as it too helps drive the other elements of consumer purchasing and can help gauge the health of Amazon's retail business overall. Given the moving pieces, we think our high uncertainty rating is appropriate.

Our bull case fair value estimate is $6,360. In this scenario, international retail growth clocks in better, while Amazon gains more e-commerce market share by virtue of further driving underpenetrated categories. AWS, advertising (other), and subscription revenues also combine to drive more growth than our base model anticipates. Additionally, the company finds more operating leverage and requires incrementally less investment in areas such as international, AWS, and transportation. In our bull case, we model a five-year CAGR of 18%, along with operating margins expanding from 5% in 2020 (actual) to 11% in 2025.

Our bear case fair value estimate is $2,540. In this scenario, international retail growth is slower across the board, including slower international expansion, increased competition from traditional retailers, and less sticky Prime subscriptions. We also see lower growth in AWS, advertising (other), and subscription revenues. Given lower revenues, we also assume less operating leverage for our bear case, driven by higher investment needs, particularly for AWS, international expansion, and the buildout of the company's transportation network. In our bear case, we model a five-year CAGR of 15%, along with operating margins remaining relatively flat in the 5% to 6% range through 2025.

Economic Moat

We assign a wide-moat rating to Amazon.com based on network effects, cost advantages, intangible assets, and switching costs. Amazon has been disrupting the traditional retail industry for more than two decades now, while also emerging as the leading infrastructure-as-a-service, or IaaS, provider via Amazon Web Services, or AWS. This disruption has been embraced by consumers and has driven change across the entire industry as traditional retailers have invested heavily in technology in order to keep pace. COVID-19 has accelerated change, and given its technological prowess, massive scale, and relationship with consumers, we think Amazon has widened its lead, which we believe will result in economic returns well in excess of its cost of capital for years to come.

We believe Amazon's retail business has a wide moat stemming from network effects associated with its marketplace where more buyers and sellers continually attract more buyers and sellers; a cost advantage tied to

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purchasing power, logistics, vertical integration (proprietary brands, owned delivery, and so on), and a negative cash conversion cycle; and intangible assets associated with technology and branding. We also believe AWS is a wide-moat business, thanks to high customer switching costs; a cost advantage associated with economies of scale where few competitors can keep up with Amazon's investment pace; intangible assets arising from semiconductor and facility development; and a network effect associated with a marketplace for software created to make AWS work better for them. We also would assign Amazon's burgeoning advertising business a narrow moat based on intangible assets from its proprietary data on hundreds of millions of users and a network effect again focusing on buyers and sellers meeting in the largest available venues. Finally, we believe that the wide moat for Amazon's entire business is greater than the sum of its parts, and we prefer to analyze Amazon's moat on the whole, as Amazon's segments reinforce one another and returns result in an unrivaled consumer experience.

Together, we believe Amazon's retail business enjoys a wide moat supported by cost advantages, intangible assets, and network effects. We assess the moat around Amazon's retail business based on a combination of online stores, third-party seller services, subscription services, and physical stores, as we find it challenging to think about sustainable competitive advantages for each of these segments in isolation. Most obviously, given its massive scale, Amazon has created cost advantages including buying power, economies of scope, route density, and research and development. From a total gross merchandise value, or GMV, perspective, with approximately $$482 billion in 2020, Amazon is second only to Walmart, but that gap is quickly narrowing and will likely flip to an Amazon lead after 2021, in our view. On the other hand, Amazon is the largest online retailer and is an order of magnitude larger than Walmart and 4 times larger than Shopify, assuming we classify Shopify as a demand aggregator for our immediate purposes. Additionally, the company has become more vertically integrated over time, and most recently has built out its own transportation network. Size dictates certain scales of efficiency, but we think Amazon has become the definition of operational excellence.

Again, these advantages are related and reinforce one another in a virtuous circle. Low prices and an unmatched selection have come to define the company in consumer's minds, giving rise to intangible assets from branding and technology (search capabilities and recommendation engine). Product searches are more likely to begin on Amazon at this point than they are Google. Amazon, in fact, has become the only demand aggregator at scale within the U.S. because of its wide selection, intelligent recommendation algorithms, low prices, and convenience, which combine into a powerful business model.

We also believe Amazon's retail business benefits from network effects. The sheer number of consumers shopping on Amazon makes it attractive to third party sellers, while the marketplace expands the selection available to shoppers and makes Amazon a more attractive online destination for consumers. In fact, 50% to 55% of total goods sold by Amazon are through the firm's third-party marketplace. At the heart of third-party seller services is the commission Amazon collects from the independent seller. However, these services also include fulfillment by Amazon, or FBA, distribution facility storage, shipping, payment processing, and other related items.

To further improve the consumer experience and more tightly tie users to Amazon, the company has moved increasingly into content. Consumers can now have Prime Video, Music Unlimited, Kindle Unlimited, Prime Gaming, and other similar subscription services. The company even produces original content for Prime Video to help reinforce

Morningstar Analysis

the notion that consumers can get anything they need from Amazon. We view the Kindle, Echo, Fire, and other Amazon original devices as interesting on their own merits, but think the underlying point is to once again draw in more consumers to Amazon's retail properties and engage those customers that are already within the ecosystem. Amazon's hardware helps to enable Amazon's services. The Kindle, for example, dovetails perfectly with Kindle Unlimited, which for a $9.99 monthly subscription, allows users to read from a selection of more than one million book titles. The company even offers a direct to Kindle book publishing service.

The common thread that weaves throughout Amazon's retail business is Amazon Prime, which for $119 per year allows users to have unlimited free shipping on millions of stock-keeping units, or SKUs, including same-day or one-day shipping on many items, access to Prime Video, Prime Music, and a variety of other benefits. We view Prime subscriptions and the differentiated user experience they offer as critical to attracting and retaining customers. Prime memberships generate high cash flow that can be reinvested in further improving the user experience on the technology, content, and delivery fronts. Prime customers are very sticky and tend to purchase from Amazon more frequently and across more retail categories. We think content combined with Prime subscriptions actually build a switching cost that consumers would need to overcome, although these switching costs might not last for decades in order to warrant it as a moat source.

The "other" segment is tangentially related to Amazon's retail operations in that it is mostly advertising and a portion of the advertising takes place on Amazon's own online properties. The company has not provided disclosures so we estimate that approximately 75% to 80% of "other" is advertising, which is growing rapidly and is likely the segment with the highest operating margins in Amazon's portfolio—in the range of 35% to 40%, which is comparable to margins earned by Facebook when it was a similarly-sized business (Other was $21 billion in revenue in 2020, compared with $18 billion in revenue for Facebook in 2015). We believe advertising dollars flow to where the eyeballs are and where information is known about the online user, which fits in very well with Amazon's strengths. We therefore expect advertising to grow rapidly over the next several years and continue to boost the company's overall profitability.

Looking at advertising in isolation, we would likely assign it with a narrow moat rating based on intangible assets arising from proprietary technology (data), and network effects, although we acknowledge that assigning a moat rating here is difficult because Amazon doesn't disclose much about this business. That said, we can see Amazon's advertising becoming a wide-moat business as it becomes more established and more details are disclosed. We think Amazon's advertising business is attractive to advertisers because there is proprietary information about the consumers and real-time data about when they are searching for a particular product, and Amazon already enjoys substantial traffic. We expect this business to continue to grow rapidly and offer an attractive alternative to platforms from social network and Internet search providers.

Amazon Web Services, or AWS, enjoys a wide moat, supported by switching costs, network effects, intangible assets, and cost advantages. Amazon was a pioneer in public cloud infrastructure as a service, or IaaS, and platform as a service, or PaaS, and retains a substantial lead over its closes rival, Microsoft. AWS has driven profitability for the entire company—although it represents 10% to 15% of revenue, it generates 60% to 65% of total operating profit dollars for Amazon. We also expect AWS to remain a key growth driver for the company over the next decade.

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Morningstar Analysis

AWS differs from the company's e-commerce operations in that it is enterprise-facing rather than consumer facing. Enterprise customers rely on AWS for core IT infrastructure, which represents significant switching costs in terms of the time and expense of integrating applications with core software elements, such as the database, and dedicates a user to a specific set of software development tools. Ultimately, the operational risks to changing mission critical technology infrastructure is high, which is why core elements such as ERP systems and cloud providers are rarely changed.

Further, we believe it is cheaper initially for companies to move workloads to the cloud, as there are less upfront costs and a lower bar to clear for maintenance and administration. Additionally, Amazon has devoted significant R&D resources to adding advanced features to the platform. Along those lines, Amazon Web Services offers scale advantages to clients in that it is cheaper and faster to set up IT infrastructure in the cloud compared with undertaking the same effort independently. Customers also benefit from the ability to scale up compute power for burst requirements, paying for only what they need and having it available effectively on-demand. We have seen some of the largest technology companies in the world simply fail to keep pace with Amazon's massive investments in IaaS over the years, and AWS' cost advantage over its rivals is obvious. Those firms struggle to compete in a meaningful way against AWS.

Amazon has also amassed significant technology and process knowledge, which we believe is an intangible asset for the firm as a whole and also for AWS. These assets could also apply to the logistics aspect of the retail business. The company expanded its distribution network by roughly 50% in 2020 while managing through a global pandemic. Given the size of its footprint, this is a monumental achievement and speaks to the company's ability to quickly plan, construct, and expand facilities based on specific needs. The knowledge base to quickly and efficiently bring massive server farms online for AWS is similarly impressive and only comes from the experience of previously building hyper scale data centers. Additionally, the firm designs its own semiconductors that are used to power its server arrays and has also developed proprietary robotic automation technology used in its fulfilment centers.

Lastly, like other large software companies, we see a network effect within AWS' ecosystem for third-party software, although we view this as more of secondary moat source. The large ecosystem of AWS users has benefited from the software development efforts of those same users, as they turnaround and offer applications written on AWS for AWS users. Thus, users help attract other users to AWS. We see Microsoft and Salesforce in particular as the best comparable examples within software of creating network effects.

Taken together, we think network effects, intangible assets, cost advantages, and switching combine to form a powerful moat for all of Amazon. We think many of these areas reinforce one another and see little difficulty in Amazon continuing to deliver returns on invested capital well in excess of its cost of capital over the long term.

Moat Trend

We assign Amazon a stable moat trend. From an e-commerce perspective, we believe the trend skews positive because of secular shifts to online commerce from traditional brick-and-mortar retailers. After more than 20 years of online shopping, this is not necessarily sneaking up on investors. However, new or less penetrated retail categories can help fuel this long-term trend. We highlight groceries, apparel, pharmacy, and furniture as some examples of areas that are gaining traction for online

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commerce—and for Amazon—from a small base. Online grocery shopping, in particular, has seen an uptick in demand due to COVID-19—we think there will be a lasting impact, while luxury items are likely still a long-term project but an opportunity for Amazon nonetheless. On the flip side, we see larger retailers getting their e-commerce houses in order and foresee greater e-commerce competition over time. We also see "buy online, pick up in store" (BOPIS) and contactless curbside pick-up as innovations being made by physical stores. While the selection, low cost, and Prime member benefits would push us to declare a positive moat trend, the general competition for shopping attention and discretionary dollars keep our moat trend rating stable for cost advantages, network effects, and intangible assets. We do not view Amazon's expansion into physical retail, either via its own stores or via Whole Foods, as a sign that Amazon's retail moat is skewing positive.

We believe the moat trend for AWS is also stable. AWS has grown rapidly and is the clear public cloud leader. That said, the company's largest competitor, Microsoft's Azure, has narrowed the gap over the last several years both in terms of features, services, and sheer size. We view this more as the natural evolution of the competitive landscape and not as shortcomings of AWS. Indeed, the company has clearly continued to invest in AWS and add to the service. We continue to believe that AWS will be a core growth engine for both Amazon's revenue and profitability over the next decade, as the public cloud market opportunity remains substantial.

Given the lack of disclosure surrounding the company's advertising business, we assign a stable trend to this segment. However, given the rapid rise in the company's advertising business, we believe more optimism is possibly warranted. As advertising dollars continue to shift to online channels, Amazon has clearly benefitted in a meaningful way. The company has added to its offsite capabilities, while the onsite inventory remains the key driver, as advertisers value eyeballs and data. We believe that Amazon's advertising business is growing approximately as fast as Facebook revenues were growing when Facebook was the size of Amazon's other business and is growing considerably faster than Google was at the same scale. Overall, we see clear share gains in online advertising, which we think are a result of years of investing in and building out of the firm's advertising platform, but the opaque disclosures around the business keep us from definitively identifying a positive moat trend around its proprietary data and technology.

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Bulls Say/Bears Say

Bulls Say

- Amazon is the clear leader in e-commerce and enjoys unrivaled scale to continue to invest in growth opportunities and drive the very best customer experience.
- High margin advertising and AWS are growing faster than the corporate average, which should continue to boost profitability over the next several years.
- Amazon Prime memberships help attract and retain customers who spend more with Amazon and reinforces a powerful network effect while bringing in recurring and high margin revenue.

Bears Say

- Regulatory concerns are rising for large technology firms, including Amazon. Further, the firm may face increasing regulatory and compliance issues as it expands internationally.
- New investments, notably in fulfillment, delivery, and AWS should dampen free cash flow growth. Also, Amazon's penetration into some countries might be harder than in the U.S. due to inferior logistic networks.
- Amazon may not be as successful in penetrating new retail categories, such as luxury goods, due to consumer preferences and an improved e-commerce experience from larger retailers.

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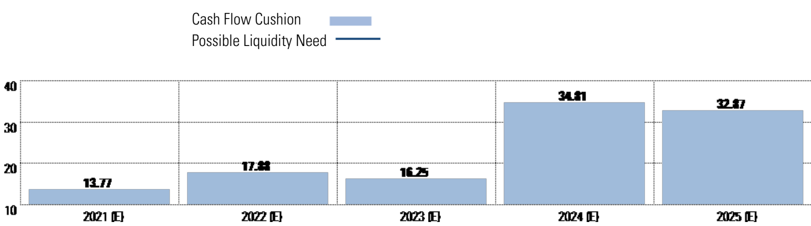
Five Year Adjusted Cash Flow Forecast (USD Mil)

	2021(E)	2022(E)	2023(E)	2024(E)	2025(E)
Cash and Equivalents (beginning of period)	42,122	71,469	106,631	161,257	225,101
Adjusted Available Cash Flow	43,535	53,740	76,313	87,568	102,504
Total Cash Available before Debt Service	85,657	125,209	182,944	248,824	327,606
Principal Payments	1,141	1,773	1,510	3,339	1,500
Interest Payments	-2,277	-2,830	-2,946	-2,996	-2,973
Other Cash Obligations and Commitments	-5,084	-5,944	-9,821	-7,491	-8,494
Total Cash Obligations and Commitments	-6,220	-7,001	-11,257	-7,149	-9,967

Cumulative Annual Cash Flow Cushion



Adjusted Cash Flow Summary

	USD Millions	% of Commitments
Beginning Cash Balance	42,122	101.3
Sum of 5-Year Adjusted Free Cash Flow	363,660	874.3
Sum of Cash and 5-Year Cash Generation	405,782	975.6
Revolver Availability	—	—
Asset Adjusted Borrowings (Repayment)	-9,263	-22.3
Sum of Cash, 5-Year Cash Generation, Revolver and Adjustments	396,519	953.3
Sum of 5-Year Cash Commitments	-41,594	—

Financial Strength

We believe Amazon is financially sound. Revenue is growing rapidly, margins are expanding, the company has unrivaled scale, and the balance sheet is in great shape. In our view, the marketplace will remain attractive to third-party sellers, as Prime continues to tightly weave consumers to Amazon. We also see AWS and advertising driving overall corporate growth and continued margin expansion.As of Dec. 31, 2020, Amazon had $84.4 billion in cash and marketable securities, offset by $31.8 billion in debt, which results in net cash of $102 per share and gross leverage of less than 1 times EBITDA. Amazon also generates healthy free cash flow, which we expect to continue to grow meaningfully over the next five years. We note that even with more than $11 billion in COVID-19-related expenses in 2020, the company was still able to expand operating margins.Given that the company is still in a rapid growth and heavy investment phase, we do not expect it to pay dividends or repurchase shares. The company is acquisitive, but given its size, we characterize all acquisitions throughout its history as tuck-in, including the largest deal of $14 billion for Whole Foods in 2017. We expect the focus to remain on growth, including heavy investment for AWS and delivery.

Risk & Uncertainty

We believe that the uncertainty for Amazon is high and that despite being an e-commerce leader, the company faces a variety of risks.Amazon must protect its leading online retailing position, which can be challenging as consumer preferences change, especially post-COVID-19 (as consumers may revert back to prior behaviors), and traditional retailers bolster their online presence. Maintaining an e-commerce edge has pushed the company to make investments in non-traditional areas, such as producing content for its Prime Video subscriptions and building out its own transportation network. Similarly, the company must also maintain an attractive value proposition for its third-party sellers. Some of these investment areas have raised investor questions in the past, and we expect management to continue to invest according to its strategy, despite periodic margin pressure from increased spending.The company must also continue to invest in new offerings. AWS, transportation, and physical stores (both Amazon branded and Whole Foods) are three notable areas of investment. These decisions require capital allocation and management focus and may play out over a period of years rather than quarters.Continued international expansion will likely require similar investment and management attention but will also increase exposure to different regulatory environments. Some countries have instituted or may institute protectionist policies. Even domestically over the last several years, lawmakers from both parties have increasingly focused on the amount of market power large technology companies have accrued. Antitrust, data privacy, and section 230 have been repeatedly invoked.From an ESG perspective, data breaches and service outages are a concern for any type of cloud service provider. As a retailer, Amazon has personal information for hundreds of millions of consumers around the world, while AWS hosts proprietary mission critical data for enterprises.

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Management & Ownership

Management Activity

Name	Position	Shares Held	Report Date*	InsiderActivity
MR. JEFFREY P. BEZOS	Director, Chairman, CEO and President, Ten Percent Owner, Director	51,209,269	10 May 2021	2000000
MR. ANDREW R. JASSY	CEO Amazon Web Services	84,772	21 May 2021	1340
MR. THOMAS J. (TOM) SZKUTAK	Senior Vice President and CFO	56,744	15 May 2015	—
MR. JEFFREY BLACKBURN	Senior Vice President	48,967	18 Feb 2020	—
MR. JONATHAN J. RUBINSTEIN	Director,Director	6,758	05 Jan 2021	—
MS. JAMIE S. GORELICK	Director,Director	6,612	15 Feb 2021	—
MS. SHELLEY L. REYNOLDS	Vice President	5,989	17 May 2021	222

*Represents the date on which the owner's name, position, and common shares held were reported by the holder or issuer.

Fund Ownership

Top Owners	% of Shares Held	% of Fund Assets	Change (k)	Portfolio Date
Vanguard Total Stock Market Index Fund	2.41	3.21	67	30 Jun 2021
Vanguard US Total Market Shares ETF	2.41	3.19	67	30 Jun 2021
Vanguard 500 Index Fund	1.75	3.88	43	30 Jun 2021
SPDRÂ® S&P 500 ETF Trust	0.88	4.05	18	30 Jun 2021
SPDRÂ® S&P 500Â® ETF Trust	0.86	4.10	32	30 Jun 2021

Concentrated Holders				
Invesco NASDAQ-100 Swap UCITS ETF	0.02	—	—	30 Jun 2021
iShares S&P 500 Cnsmr Discr Sect ETF	0.01	32.85	—	30 Jun 2021
Xtrackers MSCI USA Consumer Disc ETF	0.00	31.42	—	30 Jun 2021
JNL/Mellon Cnsmr Disctnry Sect Fd	0.03	26.06	-1	30 Jun 2021
ProFund VP Consumer Services	0.00	24.86	0	30 Jun 2021

Institutional Transactions

Top 5 Buyers	% of Shares Held	% of Fund Assets	Shares Bought/ Sold (k)	Portfolio Date
Polen Capital	0.13	4.49	646	30 Jun 2021
Cohen Investment Advisors LLC	0.13	4.58	637	30 Jun 2021
BlackRock Inc	5.55	2.55	488	30 Jun 2021
BlackRock Fund Advisors	3.22	—	446	30 Jun 2021
Bank of America Corp	0.85	1.49	421	30 Jun 2021

Top 5 Sellers				
Sands Capital Management, LLC	0.14	4.10	-924	30 Jun 2021
Eaton Vance Management	0.16	3.72	-820	30 Jun 2021
Morgan Stanley - Brokerage Accounts	1.11	2.54	-659	30 Jun 2021
Royal Bank of Canada	0.38	1.71	-659	30 Jun 2021
Morgan Stanley Investment Management, Inc.	0.25	4.21	-568	30 Jun 2021

Capital Allocation 02 Feb 2021

We assign Amazon an Exemplary Capital Allocation rating. The rating reflects our assessments of a sound balance sheet, exceptional investments, and appropriate shareholder distributions. We think investments back into the business are most likely to be the key driver of total shareholder returns and are therefore appropriately prioritized over other capital returns such as dividends and buybacks, which Amazon does not offer.

The balance sheet is sound with a net cash position and only modest gross debt. We expect the balance sheet to remain sound as the company has typically maintained a conservative balance sheet and generates more than enough free cash flow from AWS and advertising to fund growth throughout the business.

Management's track record of investing in areas that investors were initially skeptical of but were ultimately vindicated has been remarkable. Chairman and CEO Jeff Bezos founded the company in 1994 and has led it since its inception. He has done this by focusing on the customer, investing in his vision, and exploring areas that were ignored or not yet defined. The results have been breathtaking. From humble beginnings, Mr. Bezos has built Amazon into one of the largest companies in the world. On the e-commerce side, the company has evolved from selling books to selling everything, including groceries, delivering purchases the same day they are ordered, and moving into retail categories that were long thought to be beyond the reach of online shopping. The stickiness of Prime members, the financial stability of subscriptions, the tech world shakeup via AWS, the Kindle—the innovation has been dramatic, and shareholders have been rewarded along the way. Ultimately, we assess investment as exceptional.

Amazon's capital deployment strategy centers around re-investing in the business and making generally small tuck-in acquisitions. The company does not pay a dividend or repurchase shares, nor do we expect them to over the next several years.

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Analyst Notes

Amazon Shows Strength Across the Board and Provides a Constructive Outlook; FVE Up to $4,200 29 Apr 2021

Wide-moat Amazon continued its string of impressive results in the first quarter, with revenue and operating profit both topping the high end of guidance. Guidance for the second quarter is better than FactSet consensus, while operating profit is within the range. Amazon remains well positioned to prosper from the shift toward e-commerce during the COVID-19 pandemic (with particular strength in groceries and staples) in the near term, but also the secular shift toward e-commerce in the long term. We think results show the company can sustain strength even as the lockdowns ease, as management sees no slowdown in demand. We are again impressed by Amazon's earnings power as COVID-19 costs roll away and the company grows into its 50% fulfilment capacity expansion from 2020. We raise our fair value estimate to $4,200 per share from $4,000 based on results and guidance.

First-quarter revenue grew 44% (41% in constant currency) year over year to $108.5 billion, compared with FactSet consensus of $104.5 billion and guidance of $100 billion to $106 billion. Physical stores, which declined 16% year over year, was unsurprisingly the lone soft spot. The brightest area was other revenue, which includes advertising and grew 77% year over year, ahead of our model. We think advertising remains a very attractive option for marketers looking to access a vast audience. Relative to the first quarter in 2020, AWS grew 32% to $13.5 billion, thanks to robust cloud adoption. Online stores grew 44% to $52.9 billion, with groceries performing well per management. Third party grew 64% year over year, while subscription grew 36%.

Operating margin was 8.2%, compared with 5.3% a year ago and 4.6% at the midpoint of guidance. This includes $4 billion of COVID-19-related costs, while Amazon also opened additional data center capacity, which capped margins. We remain impressed by Amazon's margin performance and we expect strength to continue as COVID-19-related costs unwind throughout the year.

Amazon's second-quarter outlook includes $110 billion to $116 billion in revenue and $4.5 billion to $8.0 billion in operating profit, compared with FactSet consensus of $108.2 billion and $7.1 billion, respectively. At the midpoint, revenue is expected to grow approximately 27% year over year. Revenue guidance includes Prime Day late in the second quarter this year and 200 basis points of favorable currency adjustments, while operating profit includes $1.5 billion of COVID-19-related expenses. The company has seen COVID-19-related expenses of $4 billion in both the second and third quarters of 2020, and $2 billion in the fourth quarter, so we see the downward trajectory of these extraneous costs as a source of profitability upside as 2021 unfolds.

AWS' $52.9 billion backlog grew 55% year over year, compared with 32% revenue growth for the segment over the same time period, which is a strong result. AWS revenue accelerated modestly sequentially, which is also impressive. We see cloud adoption by the enterprise as being in the early innings and believe AWS is a key driver of both growth and profitability over the long term. AWS operating margin increased 70 basis points year over year to 30.8% even as the company continued to add more features and more regions.

Management noted no slowdown in e-commerce related demand from consumers even as some regions have begun to open up. Grocery remains an area of excitement. The company launched in Poland during the quarter and continues to expand its footprint, using Prime benefits as a way to gain traction. To that end, the company disclosed it has reached more than 200 million Prime members worldwide, which is a clear positive surprise in our view.

Amazon.com Inc AMZN (NAS) | ★★★

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3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Analyst Notes

Amazon grew its square footage by a staggering 50% in 2020 off a large base, which helped handle ongoing surging demand in recent quarters. We are generally expecting less aggressive expansion in 2021 despite continuing investments in international expansion, AWS data centers, and also for North America retail. Notably, management indicated it will continue to invest in one-day delivery.

We encourage investors to read our April 2021 publication "Best Idea Amazon Should Continue to Dominate Its Served Markets" for a deep dive into the company and its positioning within each of its segments.

Amazon Shares Look Increasingly Attractive Amid Tech Underperformance Year to Date; $4,000 FVE 01 Apr 2021

We view shares of wide-moat Amazon as increasingly attractive in the recent sell-off related to growth-oriented technology stocks, and we highlight it among our top picks currently while reiterating our $4,000 fair value estimate. Our long-term investment case centers around Amazon's dominance in both e-commerce and public cloud services through Amazon Web Services (AWS) as well as its quiet strength in its unique advertising business.

Size and scale create selection and low prices, which draw in shoppers, which then draw in more vendors as third-party sellers in a virtuous circle. Amazon Prime offers benefits that make shopping on Amazon properties even more compelling for consumers while providing recurring cash flow. These factors have combined to create the only demand aggregator of substance in the United States. Given its Internet presence and the obvious fact that Amazon knows so much about its shoppers, the company's advertising business has grown rapidly. Like AWS, it grows faster than the corporate average and generates high margins, which also help fund various growth initiatives for the company more broadly. Amazon then created the public cloud service as it is understood today, and in doing so, also came to dominate through its AWS offering. AWS generates strong growth and high margins, giving Amazon the ability to expand its e-commerce footprint and invest in other areas of the business.

From a retail perspective, we expect continued innovation to help drive further share gains. We look for continued penetration into categories such as groceries, pharmacy, and luxury goods that have not previously translated into the same level of success as other retail categories. We also see technology advancements in AWS and a bigger push to service enterprise customers as helping to sustain the company's lead there. Overall, we see strong revenue and free cash flow growth for years to come.

Amazon Delivers a Package of Fourth-Quarter Strength; Bezos Stepping Down; FVE Up to $4,000 02 Feb 2021

Wide-moat Amazon reported strong fourth-quarter results, including material upside to revenue, an EPS blowout, and upside to its revenue outlook for the first quarter. Amazon remains well positioned to prosper from the shift toward e-commerce during the COVID-19 pandemic (with particular strength in groceries and staples) in the near term, but also the secular shift toward e-commerce in the long term. We are particularly impressed by margin performance, which we think is a preview of Amazon's earnings power as COVID-19 costs roll away and the company grows into its 50% fulfilment capacity expansion from 2020.

Amazon also announced that CEO Jeff Bezos will transition to the role of executive chairman in the third quarter and will be replaced by Andy Jassy, CEO of AWS. We note Mr. Bezos will remain actively involved with the company, and Mr. Jassy has been at the company for 23 years and was a driving force behind the foundation and growth of AWS. We are raising our fair value estimate to $4,000 per share from $3,630 based on the time value of money and fine tuning

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Analyst Notes

our model for results and guidance.

Fourth-quarter revenue grew 44% (42% in constant currency) year over year to $125.6 billion, compared with FactSet consensus of $120.0 billion and guidance of $112 billion-$121 billion. Online Stores and Other revenue (which includes Advertising) were well ahead of our expectations, and we remain optimistic about Amazon's advertising prospects in particular. AWS, Physical Stores, Third Party Seller Services and Subscription Services were fairly close to our estimates. AWS benefited from feature additions and continued traction in enterprise customers and grew 66% year over year.

Operating margin was 5.5%, compared with 4.4% a year ago and our slightly above consensus estimate of 3.8%. This includes $4 billion of COVID-19-related costs, while Amazon also opened additional fulfilment centers during the quarter which limited further margin upside.

Better revenue and better margins drove a spike in EPS to $14.07, nearly doubling our above-FactSet consensus estimate of $7.10. We are impressed with the margin performance and we expect COVID19-related costs to wind down throughout the year.

Amazon's first-quarter outlook includes $100 billion-$106 billion in revenue, ahead of both our expectations and FactSet consensus of $96.1 billion. At the midpoint, revenue is expected to grow approximately 37% year over year. Revenue guidance includes 300 basis points of favorable currency adjustments.

Amazon also anticipates operating profit in the range of $3.0 billion to $6.5 billion, the midpoint of which is $4.75 billion, below both our model and FactSet consensus of $5.8 billion. We note consensus is within the guidance range and attribute the gap to uncertainty around COVID-19-related expenses. The operating profit outlook contains $2.0 billion in costs related to COVID-19, down from $4 billion in each of the last two quarters.

Amazon grew its square footage by a staggering 50% this year off a large base, which helped handle an ongoing surge in volume in the fourth quarter. We are generally expecting less aggressive expansion in 2021 despite continuing investments in international expansion, AWS data centers, and also for North America retail. Notably, management indicated it will continue to invest in one day delivery.

We are also impressed by the $50 billion backlog for AWS, which was up 68% year over year, compared with 66% revenue growth for the segment over the same time period. AWS revenue accelerated meaningfully year over year and sequentially, achieving its highest year-over-year growth rate in a given quarter since 95% year-over-year growth in the fourth quarter of 2018. We see cloud adoption by the enterprise as being in the early innings and believe AWS is a key driver of both growth and profitability over the long term.

Our long-term investment case centers around Amazon's e-commerce strength and Prime, AWS, and advertising. Amazon dominates its served markets, notably for e-commerce and cloud services. It benefits from numerous competitive advantages and has emerged as the clear e-commerce leader given its size and scale, which yield an unmatched selection of low-priced goods for consumers. The secular drift toward e-commerce continues unabated with the company continuing to grind out market share gains despite its size. Prime ties Amazon's e-commerce efforts together and provides a steady stream of high margin recurring revenue from customers who purchase more frequently from Amazon's properties. In return, consumers get one-day shipping on millions of items, exclusive video content, and other services, which result in a powerful

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Analyst Notes

virtuous circle where customers and sellers attract one another. The Kindle and other devices further bolster the ecosystem by helping attract new customers, while making the value proposition irresistible in retaining existing customers. Through Amazon Web Services, Amazon is also a clear leader in public cloud services.

Additionally, the firm's advertising business is already large and continues to scale, thus offering an attractive option for marketers looking to access a vast audience with a variety of proprietary datapoints about those very consumers. AWS, advertising, and subscriptions have grown faster than e-commerce in recent years, although 2020 is a bit of an exception because of a spike in online shopping due to COVID-19. We expect these three areas to be the main growth drivers over the next several years. This is critical, as each of these segments drives higher margins than the corporate average, which in turn should allow both operating profit and EPS to outgrow revenue as margins continue to expand.

From a retail perspective, we expect continued innovation to help drive further share gains. We also look for continued penetration into categories such as groceries and luxury goods that have not previously translated into the same level of success as other retail categories. We also see technology advancements in AWS and a bigger push to service enterprise customers as helping to sustain the company's lead there. Overall, we see strong revenue and free cash flow growth for years to come.

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
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Morningstar Analyst Forecasts

Financial Summary and Forecasts

Fiscal Year Ends in December

Growth (% YoY)	3-Year Hist. CAGR	2018	2019	2020	Forecast 2021	Forecast 2022	5-Year Proj. CAGR
Revenue	29.5	30.9	20.5	37.6	25.4	16.9	17.1
EBIT	77.3	202.4	17.1	57.5	41.0	18.2	26.4
EBITDA	42.6	67.6	30.2	32.8	17.1	13.1	16.8
Net Income	91.6	232.1	15.0	84.1	28.4	15.4	22.6
Diluted EPS	89.4	227.4	14.2	81.8	27.1	14.4	22.0
Earnings Before Interest, after Tax	75.4	282.1	6.0	33.1	56.7	18.7	28.2
Free Cash Flow	—	-233.2	32.2	8.2	36.2	31.8	32.0

Profitability	3-Year Hist. Avg	2018	2019	2020	2021	2022	5-Year Proj. Avg
Operating Margin %	5.5	5.3	5.2	5.9	6.7	6.7	7.6
EBITDA Margin %	14.8	14.3	15.4	14.9	13.9	13.4	14.1
Net Margin %	4.7	4.3	4.1	5.5	5.7	5.6	6.2
Free Cash Flow Margin %	5.4	5.5	6.1	4.8	5.2	5.8	7.1
ROIC %	28.9	28.2	28.7	29.7	29.9	26.0	25.2
Adjusted ROIC %	24.5	23.1	24.5	26.1	27.0	24.0	23.5
Return on Assets %	6.9	6.9	6.0	7.8	7.8	7.6	8.1
Return on Equity %	25.9	28.3	22.0	27.4	25.6	23.1	23.2

Leverage	3-Year Hist. Avg	2018	2019	2020	2021	2022	5-Year Proj. Avg
Debt/Capital	0.29	0.35	0.27	0.25	0.22	0.19	0.17
Total Debt/EBITDA	0.60	0.71	0.54	0.55	0.52	0.48	0.43
EBITDA/Interest Expense	28.41	23.40	27.00	34.83	29.49	26.82	33.02

Valuation Summary and Forecasts

	2019	2020	2021(E)	2022(E)
Price/Fair Value	0.80	0.90	—	—
Price/Earnings	80.3	77.9	69.6	60.8
EV/EBITDA	21.7	28.8	27.9	24.7
EV/EBIT	64.4	72.1	58.1	49.2
Free Cash Flow Yield %	2.4	1.6	1.7	2.5
Dividend Yield %	—	—	—	—

Key Valuation Drivers

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	21.0
Stage II EBI Growth Rate %	9.3
Stage II Investment Rate %	-61.7
Perpetuity Year	20

Additional estimates and scenarios available for download at http://select.morningstar.com.

Discounted Cash Flow Valuation

	USD Mil	Firm Value (%)	Per Share Value
Present Value Stage I	471,116	23.0	914.21
Present Value Stage II	895,266	43.6	1,737.28
Present Value Stage III	685,802	33.4	1,330.81
Total Firm Value	**2,052,184**	**100.0**	**3,982.31**
Cash and Equivalents	84,396	—	163.77
Debt	-31,816	—	-61.74
Preferred Stock	—	—	—
Other Adjustments	0	—	—
Equity Value	**2,104,764**	—	**4,084.34**
Projected Diluted Shares	515		
Fair Value per Share (USD)	**4,200.00**		

The data in the table above represent base-case forecasts in the company's reporting currency as of the beginning of the current year. Our fair value estimate may differ from the equity value per share shown above due to our time value of money adjustment and in cases where probability-weighted scenario analysis is performed.

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Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Morningstar Analyst Forecasts

Income Statement (USD Mil)

Fiscal Year Ends in December

				Forecast	
	2018	2019	2020	*2021*	*2022*
Revenue	**232,887**	**280,522**	**386,064**	***484,148***	***566,085***
Cost of Goods Sold	139,156	165,536	233,307	*291,440*	*342,492*
Gross Profit	**93,731**	**114,986**	**152,757**	***192,708***	***223,593***
Selling, General & Administrative Expenses	81,014	100,245	129,932	*160,004*	*184,874*
Other Operating Expense (Income)	297	201	-74	*414*	*566*
	—	—	—	—	—
Depreciation & Amortization (if reported separately)	—	—	—	—	—
Operating Income (ex charges)	**12,420**	**14,540**	**22,899**	***32,290***	***38,153***
Restructuring & Other Cash Charges	—	—	—	—	—
Impairment Charges (if reported separately)	—	—	—	—	—
Other Non-Cash (Income)/Charges	—	—	—	—	—
Operating Income (incl charges)	**12,420**	**14,540**	**22,899**	***32,290***	***38,153***
Interest Expense	1,418	1,600	1,647	*2,277*	*2,830*
Interest Income	259	1,035	2,926	*4,056*	*3,680*
Pre-Tax Income	**11,261**	**13,975**	**24,178**	***34,069***	***39,002***
Income Tax Expense	1,196	2,373	2,863	*6,678*	*7,410*
Other After-Tax Cash Gains (Losses)	—	—	—	—	—
Other After-Tax Non-Cash Gains (Losses)	—	—	—	—	—
(Minority Interest)	8	-14	16	*-5*	—
(Preferred Dividends)	—	—	—	—	—
Net Income	**10,073**	**11,588**	**21,331**	***27,386***	***31,592***
Weighted Average Diluted Shares Outstanding	500	504	510	*515*	*520*
Diluted Earnings Per Share	**20.14**	**23.01**	**41.83**	***53.14***	***60.81***
Adjusted Net Income	10,073	11,588	21,331	*27,386*	*31,592*
Diluted Earnings Per Share (Adjusted)	**20.14**	**23.01**	**41.83**	***53.14***	***60.81***
Dividends Per Common Share	—	—	—	—	—
EBITDA	**27,761**	**36,329**	**48,150**	***55,965***	***62,933***
Adjusted EBITDA	**33,178**	**43,193**	**57,358**	***67,145***	***75,913***

Amazon.com Inc AMZN (NAS) | ★★★

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3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Morningstar Analyst Forecasts

Balance Sheet (USD Mil)

Fiscal Year Ends in December

	2018	2019	2020	*2021* (Forecast)	*2022* (Forecast)
Cash and Equivalents	31,750	36,092	42,122	*71,469*	*106,631*
Investments	9,500	18,929	42,274	*42,274*	*42,274*
Accounts Receivable	16,677	20,816	24,542	*31,834*	*40,324*
Inventory	17,174	20,497	23,795	*31,939*	*42,225*
Deferred Tax Assets (Current)	—	—	—	—	—
Other Short Term Assets	—	—	—	—	—
Current Assets	**75,101**	**96,334**	**132,733**	***177,516***	***231,454***
Net Property Plant, and Equipment	61,797	72,705	113,114	*120,386*	*126,043*
Goodwill	14,548	14,754	15,017	*15,267*	*15,517*
Other Intangibles	—	—	—	*22*	*15*
Deferred Tax Assets (Long-Term)	—	—	—	—	—
Other Long-Term Operating Assets	11,202	41,455	60,331	*68,991*	*79,252*
Long-Term Non-Operating Assets	—	—	—	—	—
Total Assets	**162,648**	**225,248**	**321,195**	***382,182***	***452,280***
Accounts Payable	38,192	47,183	72,539	*83,839*	*93,833*
Short-Term Debt	—	—	—	*1,773*	*1,510*
Deferred Tax Liabilities (Current)	—	—	—	—	—
Other Short-Term Liabilities	30,199	40,629	53,846	*58,098*	*73,591*
Current Liabilities	**68,391**	**87,812**	**126,385**	***143,709***	***168,934***
Long-Term Debt	23,495	23,414	31,816	*32,957*	*34,730*
Deferred Tax Liabilities (Long-Term)	—	—	—	—	—
Other Long-Term Operating Liabilities	27,213	51,962	69,590	*84,726*	*96,234*
Long-Term Non-Operating Liabilities	—	—	—	—	—
Total Liabilities	**119,099**	**163,188**	**227,791**	***261,392***	***299,899***
Preferred Stock	—	—	—	—	—
Common Stock	5	5	5	*5*	*5*
Additional Paid-in Capital	26,791	33,658	42,865	*42,865*	*42,865*
Retained Earnings (Deficit)	19,625	31,220	52,551	*79,937*	*111,528*
(Treasury Stock)	-1,837	-1,837	-1,837	*-1,837*	*-1,837*
Other Equity	-1,035	-986	-180	*-180*	*-180*
Shareholder's Equity	**43,549**	**62,060**	**93,404**	***120,790***	***152,382***
Minority Interest	—	—	—	—	—
Total Equity	**43,549**	**62,060**	**93,404**	***120,790***	***152,382***

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Morningstar Analyst Forecasts

Cash Flow (USD Mil)

Fiscal Year Ends in December

				Forecast	
	2018	2019	2020	*2021*	*2022*
Net Income	10,073	11,588	21,331	*27,391*	*31,592*
Depreciation	15,341	21,789	25,251	*22,997*	*24,073*
Amortization	—	—	—	*678*	*708*
Stock-Based Compensation	5,417	6,864	9,208	*11,180*	*12,980*
Impairment of Goodwill	—	—	—	—	—
Impairment of Other Intangibles	—	—	—	—	—
Deferred Taxes	441	797	-554	—	—
Other Non-Cash Adjustments	494	-84	-2,653	—	—
(Increase) Decrease in Accounts Receivable	-4,614	-7,681	-8,168	*-7,292*	*-8,489*
(Increase) Decrease in Inventory	-1,314	-3,278	-2,850	*-8,144*	*-10,286*
Change in Other Short-Term Assets	—	—	—	*40*	*40*
Increase (Decrease) in Accounts Payable	3,263	8,193	17,479	*11,300*	*9,995*
Change in Other Short-Term Liabilities	1,623	327	7,020	*4,252*	*15,493*
Cash From Operations	**30,724**	**38,515**	**66,064**	***62,401***	***76,104***
(Capital Expenditures)	-13,426	-16,861	-40,141	*-30,259*	*-29,719*
Net (Acquisitions), Asset Sales, and Disposals	-82	1,710	2,771	*-1,000*	*-1,000*
Net Sales (Purchases) of Investments	1,139	-9,131	-22,242	—	—
Other Investing Cash Flows	—	—	—	*6,476*	*1,248*
Cash From Investing	**-12,369**	**-24,282**	**-59,612**	***-24,783***	***-29,472***
Common Stock Issuance (or Repurchase)	—	—	—	*0*	*0*
Common Stock (Dividends)	—	—	—	—	—
Short-Term Debt Issuance (or Retirement)	—	223	632	*1,773*	*-263*
Long-Term Debt Issuance (or Retirement)	102	-633	8,959	*1,141*	*1,773*
Other Financing Cash Flows	-7,789	-9,656	-10,695	*-11,185*	*-12,980*
Cash From Financing	**-7,687**	**-10,066**	**-1,104**	***-8,271***	***-11,470***
Exchange Rates, Discontinued Ops, etc. (net)	-351	70	619	—	—
Net Change in Cash	**10,317**	**4,237**	**5,967**	***29,347***	***35,162***

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
3,696.58 USD	4,200.00 USD	High	Wide	Stable	Exemplary	Retail - Cyclical	

Comparable Company Analysis

These companies are chosen by the analyst and the data are shown by nearest calendar year in descending market capitalization order.

Valuation Analysis

Company/Ticker	Price/Fair Value	Price/Earnings 2020	2021(E)	2022(E)	EV/EBITDA 2020	2021(E)	2022(E)	Price/Free Cash Flow 2020	2021(E)	2022(E)	Price/Book 2020	2021(E)	2022(E)	Price/Sales 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	1.01	35.3	*35.8*	*34.5*	20.8	*23.7*	*21.8*	34.1	*30.0*	*31.9*	—	—	—	10.8	*12.7*	*11.4*
Alphabet Inc GOOGL USA	0.86	29.9	*33.4*	*28.0*	15.9	*17.8*	*15.0*	27.6	*31.9*	*25.4*	—	—	—	6.5	*7.5*	*6.2*
Walmart Inc WMT USA	1.06	23.2	*25.6*	*23.2*	12.0	*13.2*	*12.1*	22.0	*15.4*	*33.2*	—	—	—	0.6	*0.7*	*0.7*
eBay Inc EBAY USA	1.21	14.7	*17.4*	*15.1*	10.2	*12.8*	*12.0*	13.0	*NM*	*15.0*	—	—	—	3.3	*4.0*	*3.9*
Average		25.8	*28.1*	*25.2*	14.7	*16.9*	*15.2*	24.2	*25.8*	*26.4*	—	—	—	5.3	*6.2*	*5.6*
Amazon.com Inc AMZN US	**0.88**	**77.9**	***69.6***	***60.8***	**28.8**	***27.9***	***24.7***	**63.2**	***58.0***	***40.2***	**—**	**—**	**—**	**4.2**	***3.9***	***3.3***

Returns Analysis

Company/Ticker	Last Historical Year Total Assets (Mil)	ROIC % 2020	2021(E)	2022(E)	Adjusted ROIC % 2020	2021(E)	2022(E)	Return on Equity % 2020	2021(E)	2022(E)	Return on Assets % 2020	2021(E)	2022(E)	Dividend Yield % 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	— USD	38.1	*43.9*	*43.6*	54.7	*62.6*	*64.6*	40.1	*44.2*	*37.6*	15.1	*18.2*	*16.5*	1.0	*0.8*	*0.9*
Alphabet Inc GOOGL USA	319,616 USD	31.1	*34.5*	*35.4*	27.9	*31.3*	*32.5*	19.0	*21.0*	*20.5*	13.5	*14.8*	*14.7*	—	—	—
Walmart Inc WMT USA	— USD	12.0	*15.0*	*14.9*	9.7	*12.1*	*12.2*	20.2	*17.7*	*16.7*	6.5	*5.6*	*5.3*	1.9	*1.5*	*1.6*
eBay Inc EBAY USA	19,310 USD	53.0	*71.7*	*-4,564.1*	267.7	*132.2*	*177.9*	176.2	*70.4*	*105.9*	30.2	*11.3*	*13.1*	1.3	*1.0*	*1.2*
Average		33.6	*41.3*	*-1,117.6*	90.0	*59.6*	*71.8*	63.9	*38.3*	*45.2*	16.3	*12.5*	*12.4*	1.4	*1.1*	*1.2*
Amazon.com Inc AMZN US	**321,195** USD	**29.7**	***29.9***	***26.0***	**26.1**	***27.0***	***24.0***	**27.4**	***25.6***	***23.1***	**7.8**	***7.8***	***7.6***	**—**	**—**	**—**

Growth Analysis

Company/Ticker	Last Historical Year Revenue (Mil)	Revenue Growth % 2020	2021(E)	2022(E)	EBIT Growth % 2020	2021(E)	2022(E)	EPS Growth % 2020	2021(E)	2022(E)	Free Cash Flow Growth % 2020	2021(E)	2022(E)	Dividend/Share Growth % 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	143,015 USD	13.7	*16.3*	*10.9*	23.3	*28.9*	*8.0*	21.4	*35.5*	*3.9*	18.2	*93.5*	*-34.3*	10.9	*9.8*	*8.9*
Alphabet Inc GOOGL USA	182,527 USD	12.8	*26.2*	*19.7*	14.7	*41.9*	*18.9*	19.2	*29.3*	*19.4*	43.5	*117.3*	*29.0*	—	—	—
Walmart Inc WMT USA	523,964 USD	1.9	*6.7*	*-1.2*	-2.5	*8.3*	*6.9*	0.4	*11.2*	*9.8*	260.1	*56.7*	*-14.7*	1.9	*1.9*	*1.9*
eBay Inc EBAY USA	10,271 USD	18.9	*16.1*	*3.8*	45.6	*10.1*	*8.6*	49.4	*17.6*	*15.8*	413.9	*-9.0*	*-64.5*	14.3	*12.5*	*20.0*
Average		11.8	*16.3*	*8.3*	20.3	*22.3*	*10.6*	22.6	*23.4*	*12.2*	183.9	*64.6*	*-21.1*	9.0	*8.1*	*10.3*
Amazon.com Inc AMZN US	**386,064** USD	**37.6**	***25.4***	***16.9***	**57.5**	***41.0***	***18.2***	**81.8**	***27.1***	***14.4***	**8.2**	***36.2***	***31.8***	**—**	**—**	**—**

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
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Comparable Company Analysis

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Profitability Analysis

Company/Ticker	Last Historical Year Net Income (Mil)	Gross Margin % 2020	2021(E)	2022(E)	EBITDA Margin % 2020	2021(E)	2022(E)	Operating Margin % 2020	2021(E)	2022(E)	Net Margin % 2020	2021(E)	2022(E)	Free Cash Flow Margin % 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	44,281 USD	67.8	68.7	68.2	49.7	52.1	51.0	37.0	41.0	40.0	31.0	35.8	33.2	31.6	42.3	35.9
Alphabet Inc GOOGL USA	40,269 USD	53.6	53.8	53.2	37.2	39.3	39.0	22.6	25.4	25.2	22.1	22.6	22.5	23.5	23.4	24.5
Walmart Inc WMT USA	14,128 USD	24.7	24.8	25.1	6.2	6.1	6.5	4.1	4.2	4.5	2.7	2.8	3.1	2.8	4.6	2.1
eBay Inc EBAY USA	2,452 USD	75.9	72.5	72.5	37.0	33.8	34.9	26.4	25.0	26.2	23.9	22.8	24.1	25.8	-7.4	25.7
Average		55.5	55.0	54.8	32.5	32.8	32.9	22.5	23.9	24.0	19.9	21.0	20.7	20.9	15.7	22.1
Amazon.com Inc AMZN US	**21,331** USD	**39.6**	**39.8**	**39.5**	**14.9**	**13.9**	**13.4**	**5.9**	**6.7**	**6.7**	**5.5**	**5.7**	**5.6**	**6.7**	**6.6**	**8.2**

Leverage Analysis

Company/Ticker	Last Historical Year Total Debt (Mil)	Debt/Equity % 2020	2021(E)	2022(E)	Debt/Total Cap % 2020	2021(E)	2022(E)	EBITDA/Interest Exp. 2020	2021(E)	2022(E)	Total Debt/EBITDA 2020	2021(E)	2022(E)	Assets/Equity 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	63,327 USD	53.5	38.3	33.3	34.9	27.7	25.0	-922.6	-98.8	-783.7	0.9	0.7	0.6	2.5	2.3	2.2
Alphabet Inc GOOGL USA	13,932 USD	6.3	5.1	4.2	5.9	4.9	4.0	—	—	—	0.2	0.2	0.1	1.4	1.4	1.4
Walmart Inc WMT USA	54,469 USD	73.0	60.4	63.4	42.2	37.7	38.8	12.5	14.8	16.2	1.7	1.4	1.4	3.2	3.1	3.2
eBay Inc EBAY USA	7,763 USD	218.0	321.4	394.0	68.6	76.3	79.8	—	—	—	2.0	2.1	1.9	5.4	7.3	8.9
Average		87.7	106.3	123.7	37.9	36.7	36.9	-455.1	-42.0	-383.8	1.2	1.1	1.0	3.1	3.5	3.9
Amazon.com Inc AMZN US	**31,816** USD	**34.1**	**28.8**	**23.8**	**25.4**	**22.3**	**19.2**	**34.8**	**29.5**	**26.8**	**0.6**	**0.5**	**0.5**	**3.4**	**3.2**	**3.0**

Liquidity Analysis

Company/Ticker	Market Cap (Mil)	Cash per Share 2020	2021(E)	2022(E)	Current Ratio 2020	2021(E)	2022(E)	Quick Ratio 2020	2021(E)	2022(E)	Cash/Short-Term Debt 2020	2021(E)	2022(E)	Payout Ratio % 2020	2021(E)	2022(E)
Microsoft Corp MSFT USA	2,108,314 USD	17.77	22.96	24.41	2.52	2.55	2.39	2.49	2.53	2.36	36.42	46.59	22.90	35.4	28.7	30.1
Alphabet Inc GOOGL USA	1,718,486 USD	198.96	253.13	324.37	3.07	3.09	3.24	3.05	3.08	3.23	—	—	—	—	—	—
Walmart Inc WMT USA	391,488 USD	3.30	6.23	9.05	0.79	0.97	1.11	0.22	0.49	0.59	1.47	4.63	—	40.9	44.7	46.1
eBay Inc EBAY USA	47,736 USD	1.99	4.04	8.61	1.80	3.13	2.47	1.80	3.13	2.47	79.33	—	7.37	8.1	22.5	22.2
Average		55.51	71.59	91.61	2.05	2.44	2.30	1.89	2.31	2.16	39.07	25.61	15.14	28.1	32.0	32.8
Amazon.com Inc AMZN US	**1,864,273** USD	**82.59**	**138.69**	**205.26**	**1.05**	**1.24**	**1.37**	**0.86**	**1.01**	**1.12**	—	**40.31**	**70.62**	—	—	—

Research Methodology for Valuing Companies

Qualitative Equity Research Overview
At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. We believe this bottom-up, long-term, fundamentally based approach allows our analysts to focus on long-term business drivers, which have the greatest valuation impact, rather than short-term market noise.

Morningstar's equity research group (“we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at an uncertainty-adjusted discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk-adjusted discount to their fair values whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat
The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm’s economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

To assess the sustainability of excess profits, analysts perform ongoing assessments of the moat trend. A firm's moat trend is positive in cases where we think its sources of competitive advantage are growing stronger; stable where we don't anticipate changes to competitive advantages over the next several years; or negative when we see signs of deterioration.

2. Estimated Fair Value
Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.
Our model is divided into three distinct stages:

Stage I: Explicit Forecast
In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working-capital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes, or EBI, and the net new investment, or NNI, to derive our annual free cash flow forecast.

Stage II: Fade
The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital, or RONIC, and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until the perpetuity stage is reached. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity
Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term market-value weights.

3. Uncertainty Around That Fair Value Estimate
Morningstar's Uncertainty Rating captures a range of likely potential intrinsic values for a company and uses it to

Morningstar Research Methodology for Valuing Companies

Research Methodology for Valuing Companies

assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating represents the analysts' ability to bound the estimated value of the shares in a company around the Fair Value Estimate, based on the characteristics of the business underlying the stock, including operating and financial leverage, sales sensitivity to the overall economy, product concentration, pricing power, exposure to material ESG risks, and other company-specific factors.

Analysts consider at least two scenarios in addition to their base case: a bull case and a bear case. Assumptions are chosen such that the analyst believes there is a 25% probability that the company will perform better than the bull case, and a 25% probability that the company will perform worse than the bear case. The distance between the bull and bear cases is an important indicator of the uncertainty underlying the fair value estimate. In cases where there is less than a 25% probability of an event, but where the event could result in a material decline in value, analysts may adjust the uncertainty rating to reflect the increased risk. Analysts may also make a fair value adjustment to reflect the impact of this event.

Our recommended margin of safety widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the estimated value of the equity, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the uncertainty rating provides guidance in portfolio construction based on risk tolerance.

Our uncertainty ratings for our qualitative analysis are low, medium, high, very high, and extreme.

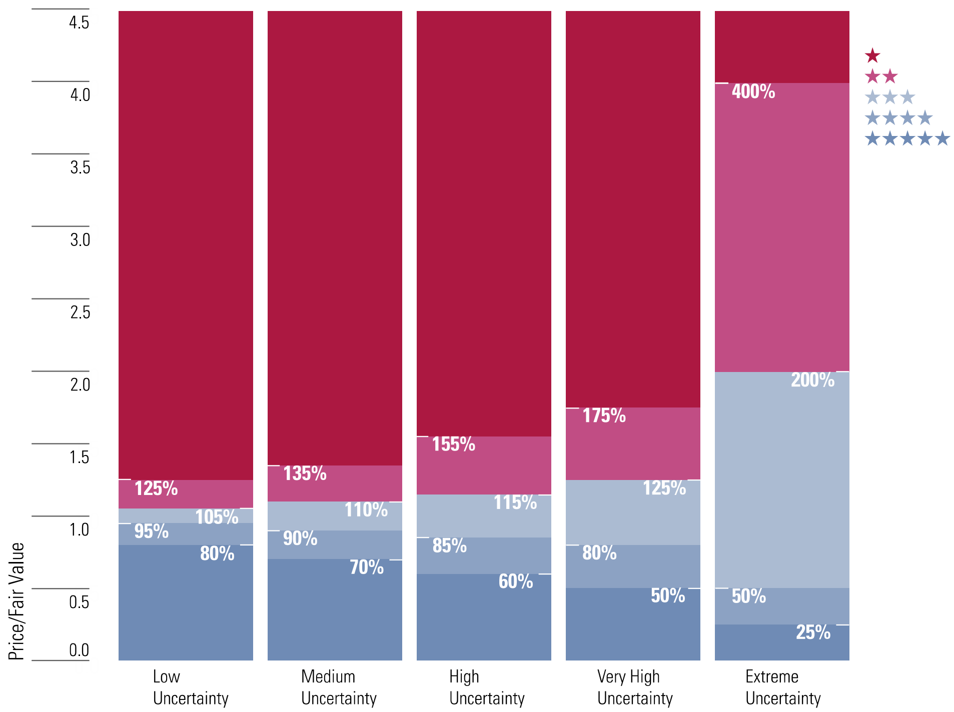
- ► Low–margin of safety for 5-star rating is a 20% discount and for 1-star rating is 25% premium.
- ► Medium–margin of safety for 5-star rating is a 30% discount and for 1-star rating is 35% premium.
- ► High–margin of safety for 5-star rating is a 40% discount and for 1-star rating is 55% premium.
- ► Very High–margin of safety for 5-star rating is a 50% discount and for 1-star rating is 75% premium.
- ► Extreme–margin of safety for 5-star rating is a 75% discount and for 1-star rating is 300% premium.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed, which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com.

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time, generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. The current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. The market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Research Methodology for Valuing Companies

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environmental, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/.

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Quantitative Valuation: Using the below terms, intended to denote the relationship between the security's Last Price and Morningstar's quantitative fair value estimate for that security.

- Undervalued: Last Price is below Morningstar's quantitative fair value estimate.
- Fairly Valued: Last Price is in line with Morningstar's quantitative fair value estimate.
- Overvalued: Last Price is above Morningstar's quantitative fair value estimate.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

Amazon.com Inc AMZN (NAS) | ★★★

Last Price	Fair Value	Uncertainty	Economic Moat™	Moat Trend™	Capital Allocation	Industry Group	ESG Risk Rating Assessment[1]
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General Disclosure

The analysis within this report is prepared by the person(s) noted in their capacity as an analyst for Morningstar's equity research group. The equity research group consists of various Morningstar, Inc. subsidiaries ("Equity Research Group)". In the United States, that subsidiary is Morningstar Research Services LLC, which is registered with and governed by the U.S. Securities and Exchange Commission.

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